

An Act

ENROLLED HOUSE
BILL NO. 3417

By: Strom, West (Josh), Archer,
Crosswhite Hader,
Dobrinski, Stinson, Fugate,
Kendrix, Kelley, McCane,
Menz, Wolfley and Chapman
of the House

and

Alvord of the Senate

An Act relating to cities and towns; amending 11 O.S. 2021, Section 10-116, which relates to purchases and sales by city manager and competitive bidding; clarifying that council requirements shall be in addition to the provisions of the Public Competitive Bidding Act; enacting a new section to combine procedures for reverse auction bidding that are applicable to all political subdivisions and public trusts; repealing 11 O.S. 2021, Sections 17-115 and 17-115.1, which relate to reverse auction bidding procedure; providing for codification; and providing an effective date.

SUBJECT: Cities and towns

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 11 O.S. 2021, Section 10-116, is amended to read as follows:

Section 10-116. A. The city manager shall contract for, purchase, or issue purchase authorizations for all supplies, materials, and equipment for offices, departments, and agencies of the city government, subject to any regulations which the council may prescribe. Every contract or purchase exceeding an amount to be established by the council shall require the prior approval of the council. The city manager may also sell or transfer to or between

offices, departments, and agencies, surplus or obsolete supplies, materials, and equipment, subject to regulations the council may prescribe.

B. The council may prescribe requirements and procedures for competitive bidding. Notice and opportunity for competitive bidding shall be given before a purchase or contract for supplies, materials, or equipment is made, and before a sale of any surplus or obsolete supplies, materials, or equipment is made, in accordance with regulations the council may prescribe. The council shall not exempt a particular contract, purchase, or sale from the requirement of competitive bidding. The provisions of this subsection shall be in addition to the provisions of Section 140 of Title 61 of the Oklahoma Statutes.

C. The council may transfer some or all of the power granted to the city manager pursuant to the provisions of this section to an employee appointed by and subordinate to the city manager.

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 141 of Title 61, unless there is created a duplication in numbering, reads as follows:

A. A political subdivision or any public trust of which such subdivision is beneficiary or any nonappropriated governmental agency or instrumentality of the state is authorized to use a reverse auction bidding procedure to obtain bids for the purchase of goods or services of any type of kind. The reverse auction shall be a real-time bidding process taking place at a previously scheduled time and Internet location and for a previously established duration, in which multiple suppliers, anonymous to each other, submit bids to provide the goods or services. The reverse auction procedure may be used as an alternative to any state law applicable to the purchase of the goods or services.

B. The procedure shall provide:

1. A bid opening and bid closure. At the opening date and time, the political subdivision or public trust shall begin accepting reverse auction electronic bids. Reverse auction bids shall be accepted until the bid closure, except as provided by paragraph 6 of this subsection, unless the political subdivision or public trust determines it is in the best interest of the political subdivision or public trust to extend the closing time and notifies the reverse auction bidders of the extended closing time by public

announcement at the Internet location at least fifteen (15) minutes prior to the original closing time;

2. The posting of all reverse auction bids electronically and updating of bids on a real-time basis by the political subdivision or public trust;

3. The authorization for the political subdivision or public trust to require bidders to register before the opening date and time and, as part of that registration, require bidders to agree to any terms, conditions, or other requirements of the solicitation or applicable acts;

4. The authorization for the political subdivision or public trust to also require potential bidders to prequalify as bidders and to restrict solicitations to prequalified online and reverse auction bidders;

5. The retention of the authority of the political subdivision or public trust to determine the criteria that will be used as the basis for making awards; and

6. The authorization for the political subdivision or public trust to determine it is in the best interest of the municipality or public trust to allow it to accept an electronic bid after the specified official closing date and time, in the event the political subdivision or public trust determines that a significant error or event occurred that affected the electronic receipt of any reverse auction bid by the political subdivision or public trust.

C. All bids submitted electronically through the reverse auction bidding process pursuant to this section are subject to the same public disclosure laws that govern bids received pursuant to any other law of this state governing procurement procedures for a political subdivision or public trust.

D. All remedies available to the political subdivision or public trust and suppliers through a bid process pursuant to any other law of this state are also available to the political subdivision or public trust reverse auction bidders in a reverse auction bidding process.

E. The procedures set out in this section may be used to obtain acquisitions or award contracts for all needed operations or purchase orders.

SECTION 3. REPEALER 11 O.S. 2021, Section 17-115, is
hereby repealed.

SECTION 4. REPEALER 11 O.S. 2021, Section 17-115.1, is
hereby repealed.

SECTION 5. This act shall become effective November 1, 2026.

Passed the House of Representatives the 24th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the 28th day of April, 2026.

Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____

Approved by the Governor of the State of Oklahoma this _____
day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____